

Hospitality Perspectives

Publication 02

When Higher Visitation Reduced Destination Value

A Professional Observation from Destination Hospitality

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Executive Reflection

Hospitality organisations naturally seek to increase visitation. More visitors generally suggest stronger commercial performance, improved occupancy and healthier trading conditions.

Yet one destination experience challenged that assumption.

Visitor numbers increased.

The resort became busier.

However, the wider commercial value created by those additional visitors did not increase in the same proportion.

This experience raised a question that has remained with me throughout my career.

Can a destination become commercially weaker while appearing commercially stronger?

The Commercial Challenge

A destination introduced a promotional initiative designed to increase visitation during quieter trading periods.

The programme successfully attracted additional demand and increased lift ticket sales.

From a traditional commercial perspective, the initiative appeared successful.

Over time, however, a different pattern began to emerge.

While visitor numbers increased, the wider destination economy experienced relatively limited additional commercial benefit beyond the original promotional product.

What Emerged

As the initiative matured, several commercial patterns gradually became apparent.

Many of the additional visitors made only limited use of the destination's wider hospitality offering, including accommodation, restaurants, retail outlets and guest services.

At the same time, favourable weather conditions often coincided with periods when the promotional lift passes remained valid. This resulted in promotional visitors arriving on the very days that the destination was already naturally attracting its highest-value customers.

The combined demand placed increasing pressure on lifts, ski slopes, parking facilities and operational resources.

The resort became significantly busier.

Operational complexity increased.

Guest experience came under greater pressure.

Yet commercial value across the wider destination did not increase at the same pace.

The experience demonstrated an important distinction.

Increasing visitor numbers and increasing destination value are not necessarily the same objective.

Why It Matters

Hospitality destinations operate as connected commercial ecosystems.

Success depends not only on attracting visitors, but on how those visitors contribute to the wider destination economy.

When additional demand generates limited value beyond a single product while simultaneously increasing operational pressure across multiple services, headline performance indicators may present only part of the commercial picture.

This is where professional judgement becomes essential.

Reports explain what is happening.

Observation and experience help explain why.

Questions Worth Asking

This experience left me reflecting on several questions that may be valuable for destination leaders.

- Which customer segments create the greatest long-term value for the destination?
- Are promotional initiatives increasing commercial value or simply increasing activity?
- Where does operational capacity become the limiting factor for commercial performance?
- Could customer segmentation produce stronger long-term outcomes than visitor growth alone?
- How should destination success really be measured?

Professional Reflection

Looking back, I no longer see this experience as a lesson about promotional pricing.

I see it as a lesson about understanding the commercial system as a whole.

Destinations succeed when commercial strategy, operational capacity and guest experience remain in balance.

Once that balance begins to shift, traditional performance indicators may no longer tell the complete story.

Professional advisory rarely begins with solutions.

It begins with understanding.

It begins by asking better questions before proposing better answers.

For me, this experience reinforced one principle that continues to guide my professional thinking:

Professional advisory combines evidence, local understanding and sound judgement to help clients make informed decisions that reduce unnecessary risk while creating sustainable long-term value.

Closing Thought

The objective of destination management is not simply to attract more visitors.

It is to create greater value for guests, businesses, employees and the destination itself.

Sometimes those objectives align naturally.

Sometimes they require us to look beyond the headline numbers and ask more thoughtful commercial questions.

That is where professional advisory can make its greatest contribution.

About Hospitality Perspectives

Hospitality Perspectives is an independent publication series exploring practical commercial observations from hotels, destination resorts and hospitality operations. Each publication is written to encourage thoughtful discussion among hospitality leaders and support better-informed commercial decision-making.

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